

FICTIONAL TEST DOCUMENT - Northwind Freight Holdings is not a real company.

Northwind Freight Holdings - Annual Report, Fiscal Year 2025

Letter to Shareholders

Fiscal year 2025, which ended June 30, 2025, was a record year for Northwind Freight Holdings. Total revenue reached \$412.6 million, an increase of 8.3% from \$381.0 million in fiscal 2024.

Growth came from all three of our segments, led by Ground Freight. We ended the year with 2,140 employees across 31 terminals.

Dana Whitfield, Chief Executive Officer

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Financial Highlights, Fiscal Year 2025

Operating income was \$48.9 million, an operating margin of 11.9%. Net income was \$31.2 million, and diluted earnings per share were \$1.47.

Cash flow from operations was \$63.0 million. After capital expenditures of \$35.5 million, free cash flow was \$27.5 million.

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Segment Results, Fiscal Year 2025

Ground Freight revenue was \$268.3 million. Air Cargo revenue was \$96.1 million. Warehousing revenue was \$48.2 million.

Air Cargo margins were pressured by fuel: Air Cargo fuel costs rose 14% year over year, partly offset by surcharges.

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Capital Structure and Shareholder Returns

Total debt at June 30, 2025 was \$185.0 million. The company has a \$150 million revolving credit facility that matures in March 2029.

The board declared a quarterly dividend of \$0.24 per share and authorized a share repurchase program of up to \$40 million.

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Outlook for Fiscal Year 2026

Management expects fiscal 2026 revenue of \$435 million to \$450 million. Planned capital expenditures are \$36 million.

Northwind plans to open two new warehouses, in Phoenix and Columbus, during fiscal 2026.